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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Opportunity Has Been Knocking. Have You Opened the Door?

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Last Week's S&P 500 Index:
-0.2%

Key takeaways

» *Volatility in the stock market, both up and down, can often present an opportunity to investors.*

» *The recent downside volatility has offered multiple opportunities to put sidelined funds to work at what we consider attractive entry points.*

Hindsight, as they say, is always 20/20. How many times have you said to yourself, "If I would have only done 'X' when I had the chance (or chances)"? In more than 35 years of making a living first as a currency trader and now as an equity market prognosticator, this strategist has rolled that thought around in his mind more times than he can count. But in this business, second-guessing yourself every now and then is just part of the game. Same with investors in general. Are you going to be right all of the time? Of course not. But don't dwell on the second-guessing. If you can't battle through that less-than-optimal thought process from time to time, then it is going to be tough to stick it out when the equity market is moving down. Of course, there is always the option of letting someone else make investment decisions for you. Too much second-guessing is usually bad for both one's psyche as well as one's portfolio performance. It also tends to keep you up at night.

So what does this have to do with the current equity market? As we have stated many times over the years, increased volatility is just another word for opportunity. And clearly, stock market volatility has increased dramatically in 2018. Volatility is too often thought of as your enemy when in many instances it can be your friend. For example, if you think stocks are overvalued based on your forward macroeconomic and Federal Reserve (Fed) monetary policy outlook, take the opportunity to sell some stocks into strength. On the other hand, when the stock market pulls back and your analysis suggests the forward macro outlook is good and the Fed likely won't create headwinds for the economy, then there is an opportunity to put sidelined funds to work. In these instances, volatility could indeed be your friend.

In our opinion, the current downside volatility since early February has been offering investors multiple opportunities to put sidelined funds to work. Recall that our forward macroeconomic forecast is good. We look for 2.9% gross domestic product (GDP) growth this year coupled with a Consumer Price Index (CPI) that moves only slightly higher to 2.4% (still historically low). And as far as the Fed? We look for two more rate hikes this year, which we believe are already priced into stocks.

As far as picking an entry point, in this cycle we have been fans of stepping into stocks on the way down. We know that our chances of picking the exact bottom are slim. This year we have argued that traders are largely controlling the day-to-day action in the stock market. With that in mind, we have suggested that investors looking to boost their equity exposure need to start thinking a little more like traders. In other words, picking their entry points using technical analysis techniques, such as buying near the 200-day moving average (MA). This can often be good support when the forward fundamentals look good.

So far in the pullback that started on February 2, the S&P 500 has touched the 200-day MA on seven different trading days and come very close on at least five other days. Opportunity has been knocking. But the question is, have you opened the door?

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Definitions

An index is unmanaged and not available for direct investment.

The **Consumer Price Index (CPI)** produces monthly data on changes in the prices paid by urban consumers for a representative basket of goods and services.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

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